

The Children's Investment Fund

Q2 2018 Report

Fund Performance

Period	Master Fund Assets (\$m)	Class D* (Q) \$	Class F (1 yr) \$	Class G (2 yr) \$	Class H** (3 yr) \$	MSCI World Net Total Return (\$)
April 2018	17,954	1.3%	1.4%	1.3%	1.3%	1.1%
May 2018	18,263	0.9%	0.9%	0.9%	1.0%	0.6%
June 2018	19,782	7.3%	7.1%	7.4%	7.5%	(0.0)%
Q2 2018		9.7%	9.7%	9.8%	10.0%	1.7%
2018		8.8%	8.4%	8.9%	9.1%	0.4%
Annualised		17.8%			18.2%	7.1%
Inception		981.9%			1027.3%	169.9%

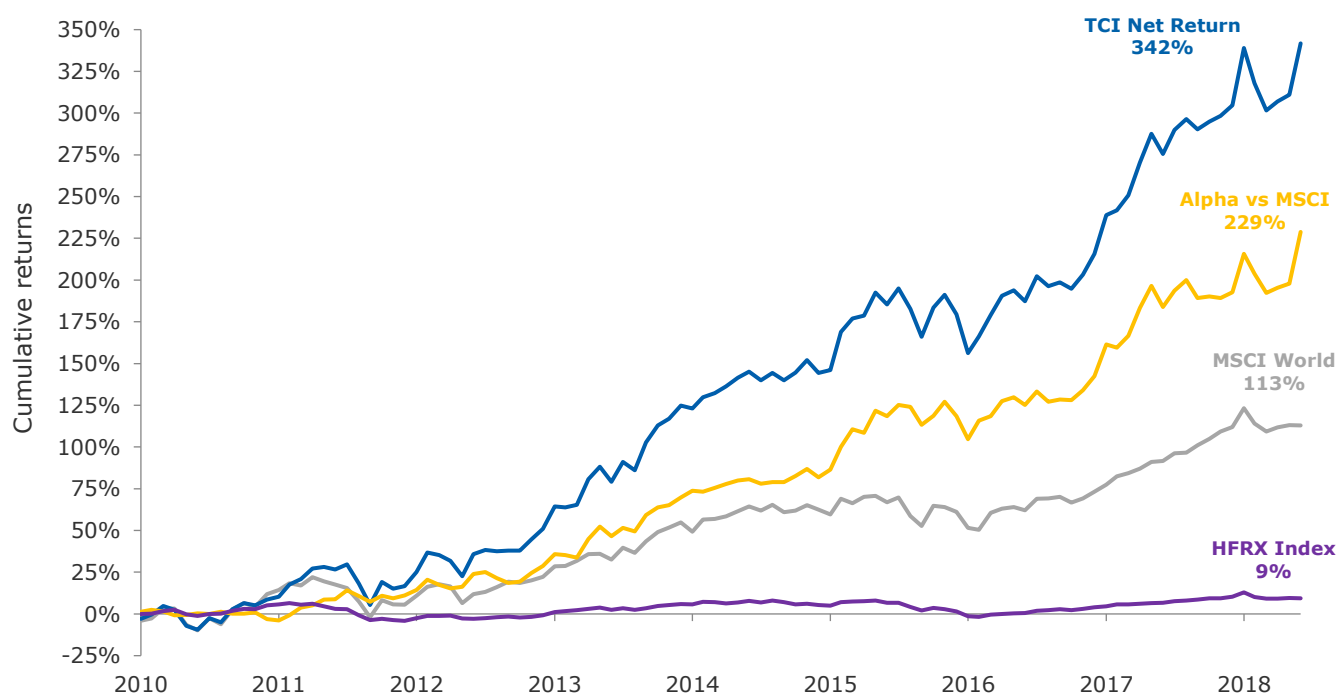
Note: Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures since inception (1 January 2004). MSCI index is unhedged to the USD. Net total return indices reinvest dividends after the deduction of withholding taxes, using (for international indices) a tax rate applicable to non-resident institutional investors who do not benefit from double taxation treaties. Historical monthly returns since inception are available upon request.

*Inception and annualised returns are for an investor subscribing to Class A (3-year) USD on 1 January 2004 and switching to Class D USD on 1 August 2009, shares of the Cayman feeder of The Children's Investment Master Fund. Inception date is 1 January 2004.

**Inception and annualised returns are for an investor subscribing to Class A (3-year) USD on 1 January 2004 and switching to Class H USD on 1 January 2013, shares of the Cayman feeder of The Children's Investment Master Fund. Inception date is 1 January 2004.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, TCI Fund Management Limited. Data as at 30 June 2018.

2010–2018 TCI Net Performance vs MSCI World Equity and HFRX Indices

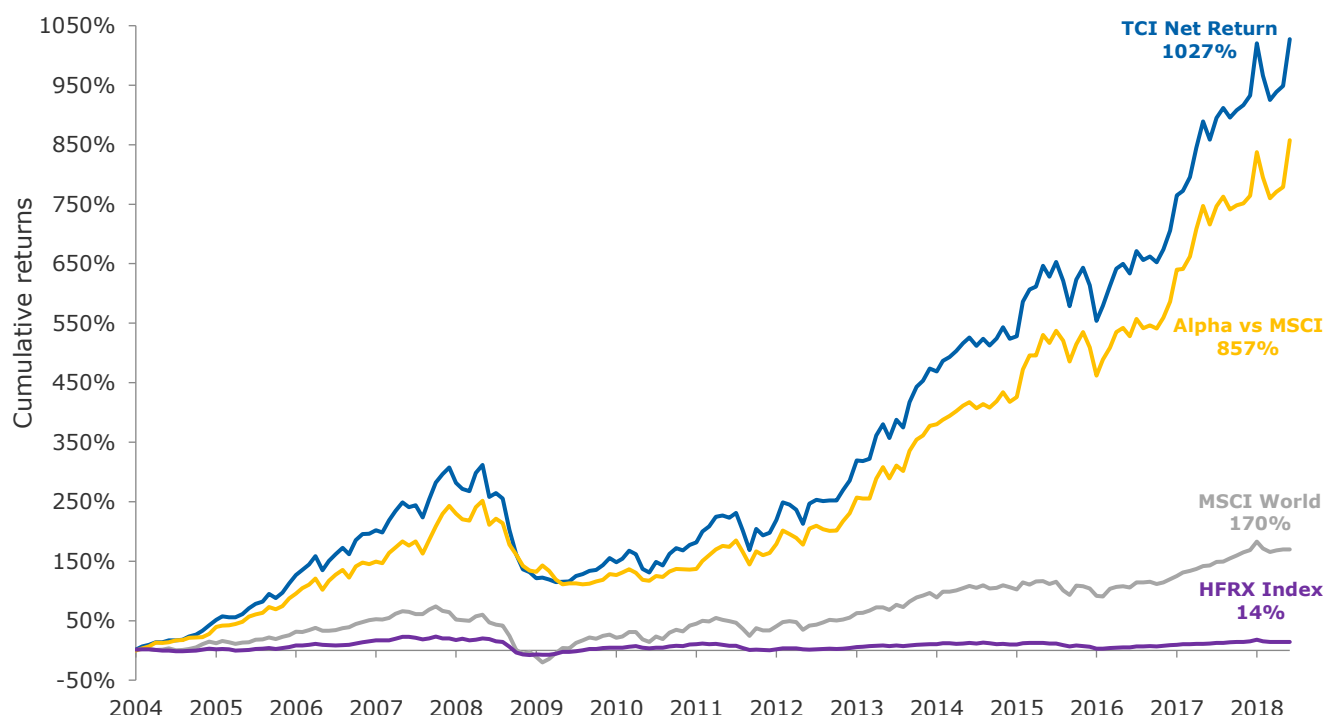


MSCI World Index includes net dividends reinvested; HFRX Index is the HFRX Global Hedge Fund Index.

TCI Fund returns, net of fees and expenses and with dividends reinvested, are for an investor subscribing to Class A (3-year) USD on 1 January 2004, and switching to Class H USD on 1 January 2013, shares of the Cayman feeder of The Children's Investment Master Fund. Data rebalanced on 1 January 2010. Alpha represents the performance differential between the TCI net return and the MSCI World Index calculated from 1 January 2010.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, TCI Fund Management Limited, Hedge Fund Research, Inc. Data as at 30 June 2018.

Inception to Date TCI Net Performance vs MSCI World Equity and HFRX Indices



MSCI World Index includes net dividends reinvested; HFRX Index is the HFRX Global Hedge Fund Index.

TCI Fund returns, net of fees and expenses and with dividends reinvested, are for an investor subscribing to Class A (3-year) USD on 1 January 2004, and switching to Class H USD on 1 January 2013, shares of the Cayman feeder of The Children's Investment Master Fund. Inception date is 1 January 2004. Alpha represents the performance differential between the TCI net return and the MSCI World Index calculated from TCI's inception date.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, TCI Fund Management Limited, Hedge Fund Research, Inc. Data as at 30 June 2018.

Key Fund Data

Exposure Summary (% of Fund NAV)

Asset Class Exposure at 30 June 2018	Exposure (Hedged Equity Positions Not Netted)	Exposure (Hedged Equity Positions Netted)
Long Public Equity	153%	121%
Short Public Equity	(37)%	(5)%
Net Public Equity	116%	116%
Long Credit	7%	7%

Note: Exposure includes subscriptions and redemptions at month-end. Hedged equity positions include Alibaba/Alibaba (inclusive of a 45bp short position in Yahoo Japan), Fox/Disney and Shire/Takeda.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited.

% of Fund NAV				
Period	Longs	Shorts	Net	Gross
April 2018	170%	(53)%	117%	223%
May 2018	175%	(56)%	119%	231%
June 2018	153%	(37)%	116%	190%

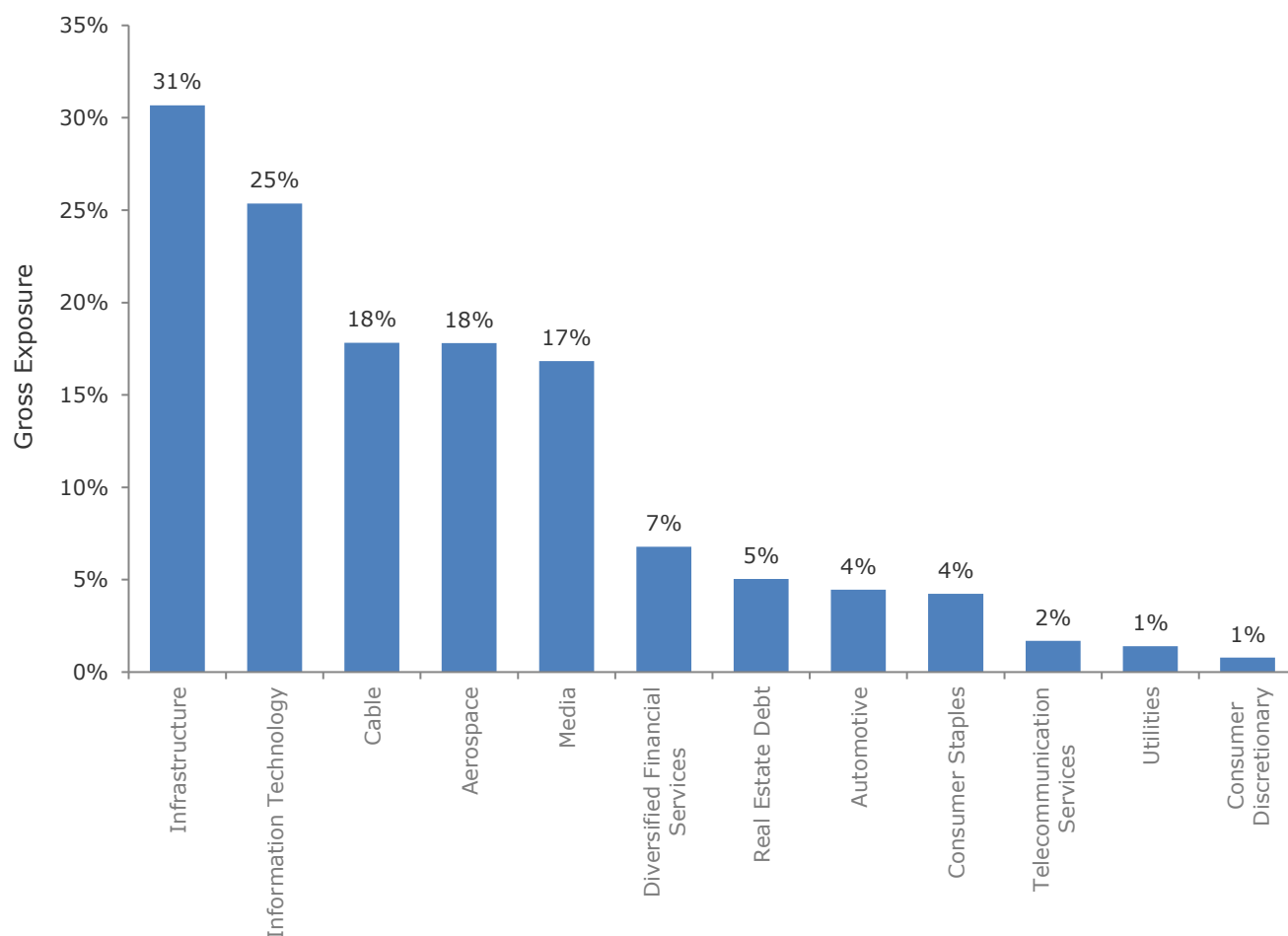
Note: Exposure includes subscriptions and redemptions at month-end. Figures exclude credit exposure. Exposure of hedged equity positions is not netted.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited.

Top Positions at 30 June 2018	% of Fund NAV	QTD % Move, Local Currency	YTD 2018 % Move, Local Currency
Charter	18%	(6)%	(13)%
Fox (31% long) / Disney (14% short)	17% net	35% / 4%	45% / (3)%
Alphabet	16%	8%	7%
Safran	9%	23%	23%
Airbus	9%	9%	23%
Aena	8%	(1)%	(4)%
Aurizon	7%	2%	(10)%
Microsoft	7%	9%	16%
Atlantia	6%	3%	(1)%
London Stock Exchange	5%	9%	19%
Altaba (21% long) / Alibaba (18% short)	3% net	(1)% / 1%	5% / 8%

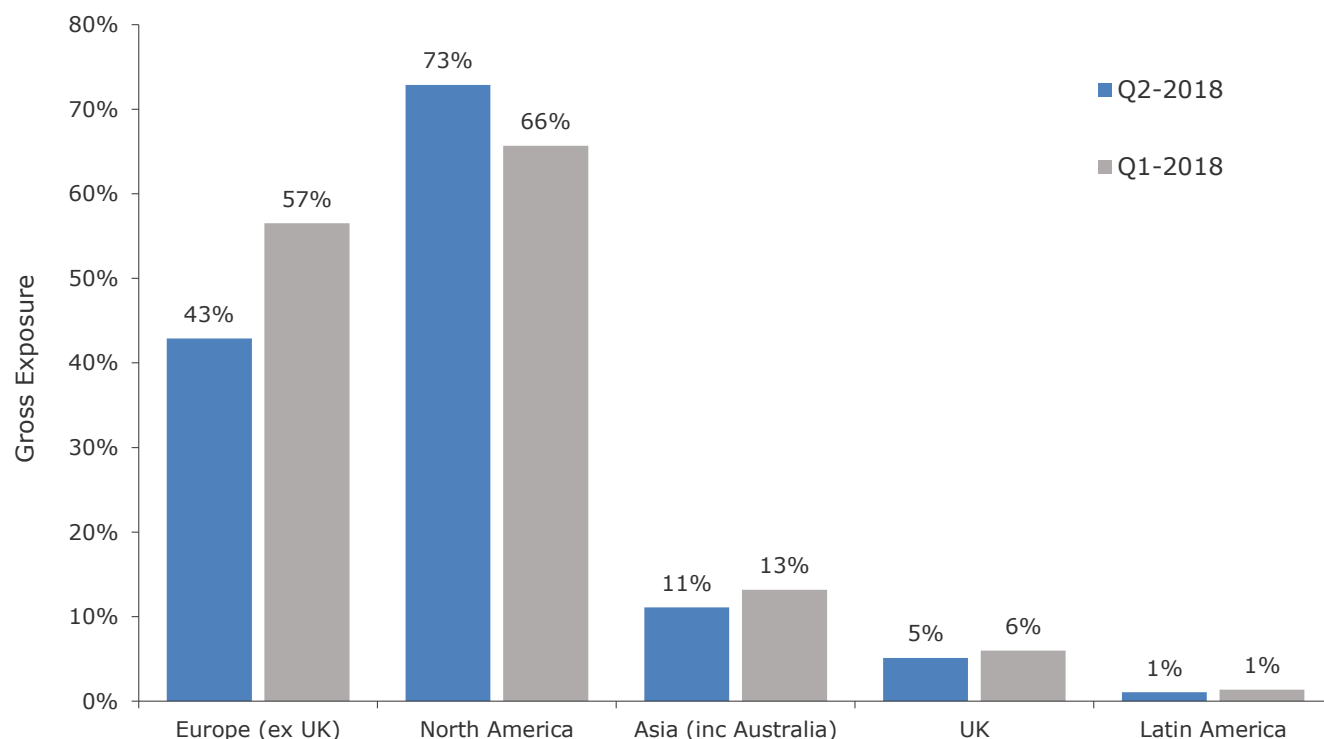
Note: Exposure includes subscriptions and redemptions at month-end. All price moves are adjusted for dividends.
Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited.

Q2 2018 Portfolio Sector Exposure



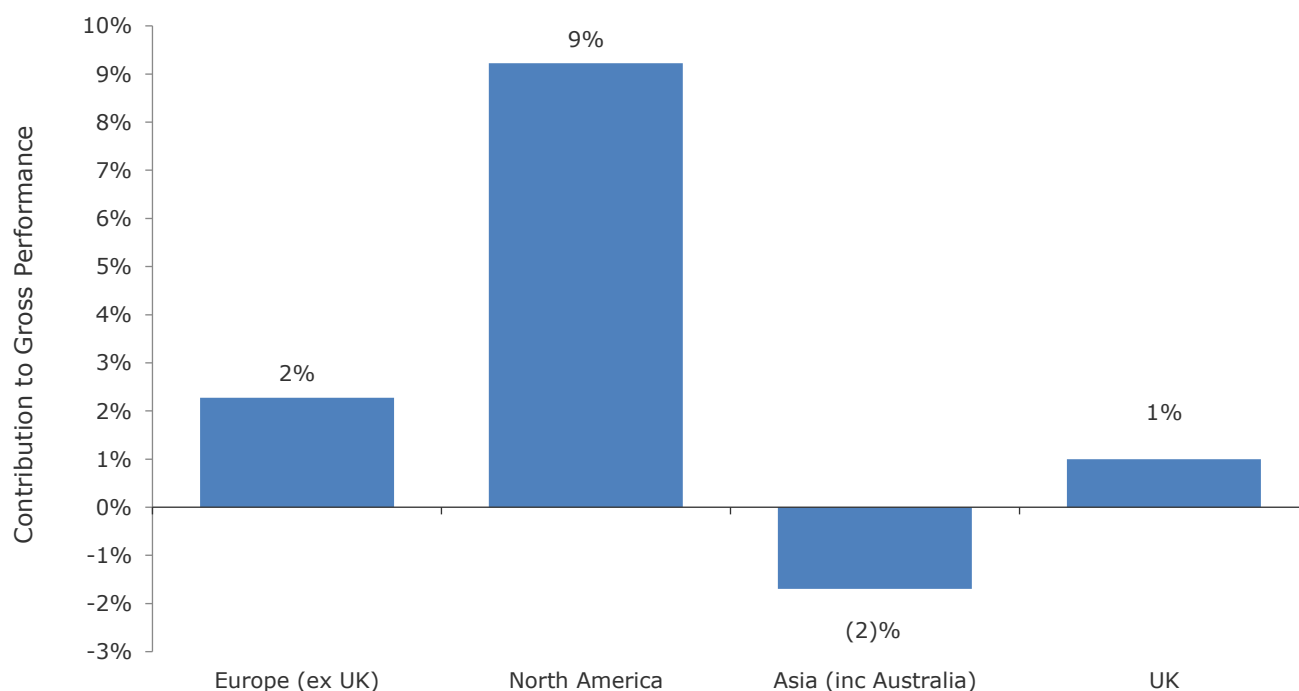
Note: Figures include long and short equity and debt positions. These percentages are rounded to the nearest whole number. The exposure of hedged equity positions has been netted (long positions, 160%, less short side of the equity spread deals, 32%, plus outright short positions, 5%). Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited. Data as at 30 June 2018.

Q2 2018 vs Q1 2018 Portfolio Geographical Exposure



Note: Figures include long and short equity and debt positions at end of quarter. These percentages are rounded to the nearest whole number. The exposure of hedged equity positions has been netted. Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited.

YTD 2018 Performance Contribution by Geography



Note: Performance contribution figures include long and short equity, debt positions and foreign exchange. The contribution of hedged equity positions has been netted. Figures have been rounded to the nearest whole number. Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited.

Q2 2018 Contribution Analysis

Highest Contributors	P&L (\$m)	% Contribution to Gross Performance	Return on Capital Employed
Fox/Disney	1,420	8%	35% ¹
Safran	270	2%	16%
Alphabet	248	1%	8%
Time Warner/AT&T	131	1%	11% ¹
Microsoft	116	1%	10%
London Stock Exchange	71	<1%	7%
Aena	47	<1%	2%
Airbus	46	<1%	3%
Atlantia	34	<1%	3%
Eurotunnel	28	<1%	4%
Aurizon	27	<1%	2%
AT&T (short)	24	<1%	7%
Altice Bonds	24	<1%	8%
Moody's	20	<1%	8%
Parkmerced (real estate loan)	11	<1%	3%
Other Contributors	51	<1%	
Contributors Total	2,568	14%	
Porsche	(214)	(1)%	(15)%
Charter	(114)	(1)%	(3)%
Woolworths (short)	(97)	(<1)%	(15)%
CESP	(29)	(<1)%	(12)%
Altaba/Alibaba	(24)	(<1)%	(<1)% ¹
Kellogg (short)	(10)	(<1)%	(9)%
Other Detractors	(53)	(<1)%	
Detractors Total	(541)	(3)%	
Total	2,027	11%	

Note: Percentage contribution/detraction includes interest and FX hedging allocations. QTD return on capital employed (ROCE) for each position is non-annualised and uses time weighted average capital employed.

¹The QTD ROCE of hedged equity positions is the combined profit/loss of the long and short divided by the time-weighted average capital employed of the long position only.

The Q2 2018 Contribution Analysis above includes all top positions and positions that have contributed profit equal to or greater than positive \$10m and a loss equal to or greater than negative \$10m.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited. For the quarter to 30 June 2018.

YTD 2018 Contribution Analysis

Highest Contributors	P&L (\$m)	% Contribution to Gross Performance	Return on Capital Employed
Fox/Disney	1,561	9%	56% ¹
Safran	316	2%	19%
Airbus	278	2%	19%
Alphabet	207	1%	8%
Microsoft	176	1%	16%
London Stock Exchange	174	1%	19%
Time Warner/AT&T	134	1%	23% ¹
Eurotunnel	76	<1%	12%
AT&T (short)	55	<1%	13%
Moody's	39	<1%	17%
H&M (short)	37	<1%	24%
Parkmerced (real estate loan)	21	<1%	5%
S&P Global	17	<1%	23%
76 Eleventh Avenue (real estate loan)	17	<1%	6%
Altaba/Alibaba	2	<1%	<1% ¹
Other Contributors	48	<1%	
Contributors Total	3,158	18%	
Charter	(361)	(2)%	(11)%
Porsche	(267)	(2)%	(16)%
Comcast	(251)	(1)%	(14)%
Aurizon	(216)	(1)%	(11)%
Woolworths (short)	(81)	(<1)%	(12)%
Aena	(28)	(<1)%	(1)%
Atlantia	(16)	(<1)%	(1)%
Other Detractors	(64)	(<1)%	
Detractors Total	(1,284)	(7)%	
Total	1,874	11%	

Note: Percentage contribution/detraction includes interest and FX hedging allocations. YTD return on capital employed (ROCE) for each position is non-annualised and uses time weighted average capital employed.

¹The YTD ROCE of hedged equity positions is the combined profit/loss of the long and short divided by the time-weighted average capital employed of the long position only.

The YTD 2018 Contribution Analysis above includes all top positions and positions that have contributed profit equal to or greater than positive \$10m and a loss equal to or greater than negative \$10m.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited. For the year to 30 June 2018.

Portfolio Review for Q2 2018

21st Century Fox/Walt Disney

21st Century Fox is currently a 31% position for the fund. Funds managed by TCI Fund Management Ltd currently hold a 7.4% stake of the equity of the company.

The share price performed very strongly in Q2, rising 35% as Comcast and Disney entered a bidding war for the assets currently being auctioned by Fox. This bidding war opened up in earnest after the unequivocally positive conclusion of the AT&T–Time Warner trial, where the government lost its suit to block the vertical merger of a content group (Time Warner) with a payTV and consumer internet operator (AT&T).

Below, we lay out the timeline that has led to the auction, and the role that TCI has aimed to play. TCI wrote two public letters to Rupert Murdoch during the quarter. We feel that as the largest shareholder in Fox after the Murdoch family, we are well placed to publicly hold the Fox board to its fiduciary responsibilities to maximise shareholder value in this process and to set aside potential conflicts of interest.

On May 23, Comcast issued a press release stating that it was in the advanced stages of preparing an all-cash bid for the Fox assets. On that same day, we wrote a public letter addressed to Rupert Murdoch in which we said that we would hold the board of Fox accountable for managing a full and fair auction for the Fox assets, in light of Comcast's stated interest to participate.

We felt our initial letter was important for four reasons:

1. The Murdoch family and the Fox board are contractually restricted by Disney in their abilities to either solicit or encourage alternative bids
2. The board is contractually required to make best efforts to move the Disney bid forward to the extent that it does not conflict with their fiduciary responsibilities
3. The Murdoch family themselves have potential conflicts of interests in weighing the highest price against the potential tax efficiency of a Disney offer
4. We felt the fears around antitrust risks to a Comcast bid, even in advance of the AT&T–Time Warner ruling were exaggerated and a more reasoned discussion around antitrust was required

In this context we felt we should state our intention to hold the board accountable for its fiduciary responsibilities to all shareholders, not just family ones.

On June 12, Judge Richard Leon issued a strong ruling, in which he stated the Department of Justice had failed to make the case that the combination of AT&T and Time Warner was anti-competitive and would lead to consumer harm. Thus he would allow the vertical merger of a content and network group with a payTV and internet service provider to proceed without any conditions. This case has set a strong positive precedent for vertical mergers and has gone a long way towards narrowing the antitrust advantage that Disney may have had over Comcast in the pursuit of Fox.

On June 13, the day following the AT&T–Time Warner ruling, Comcast announced that it would bid \$35 per Fox share in cash for the assets being sold by 21st Century Fox, a 19% premium to the prevailing Disney equity bid of \$28. Comcast also announced that it would at least match the regulatory commitments made by Disney and that it perceived that the antitrust risk of the two alternative bids was equal and low.

On June 20, Disney raised its offer from \$28 in stock, to \$38 per Fox share. The raised offer would be 50% cash, 50% stock, and there would be a collar on the stock component to partially protect Fox shareholders from declines in the Disney share price.

On June 28, the Department of Justice approved Disney's deal to acquire the majority of the Fox assets contingent on the sale of Fox's regional sports network portfolio. This has been a clear victory for Disney, who has achieved US regulatory clearance for a reasonably complex deal in record time. The approval followed the June 27 publication of the revised Disney-Fox proxy which laid out the terms of the revised \$38 bid and reasons that they continued to feel a Comcast bid would face a very high antitrust hurdle, notwithstanding the conclusion of the AT&T-Time Warner trial.

On June 28, we published a second open letter to Rupert Murdoch which stated that we strongly disagreed with their arguments for heavily discounting a Comcast bid on antitrust grounds and that the Fox Board should reconsider which theories of harm against Comcast were truly viable.

We continue to feel the auction should focus on price, given manageable antitrust risks. Notwithstanding the early agreement between the DoJ and Disney to approve the latter's bid for the Fox assets, we continue to believe the antitrust risk of a Comcast bid is low and manageable.

There are four relevant axes of consideration when it comes to US antitrust:

1. Horizontal combination of cable network and content companies (in this instance Fox with either NBCU or Disney)
2. Vertical combination of a payTV provider with a content company
3. Vertical combination of an internet service provider with a content company
4. Structural remedies: The appetite of the acquirer to address any friction points with disposals

We think Comcast can comfortably address all of these. Post the precedent of the AT&T trial and the June 27 Disney settlement with the DoJ, and in light of the FCC's position on net neutrality and Comcast's openness to dispose of the regional sports networks, we do not believe there are theories of harm against Comcast that are truly viable.

1. Horizontal antitrust issues for Comcast are no greater than for Disney, and in most instances are lower. In the DoJ complaint against AT&T, Turner Networks are ranked second only to Disney's, and thus presumably both cable network families are more important than those of NBCU. In which instance, the hurdle for combining with NBCU should be lower.
2. The announced settlement on June 27 between Disney and the DoJ sets a strong precedent and template for a Comcast deal, given the striking similarities of the NBCU and Disney operations.
3. Post the sale of the regional sports networks, and potentially Hulu, Fox in the US is left only with the TV and movie studios, as well as the FX and National Geographic cable networks. It is difficult to argue that any of these have market power and in fact they clearly operate in highly competitive markets.
4. The outcome of the AT&T-Time Warner trial we believe is unequivocally positive for issues of vertical integration of content with a payTV platform. Mostly importantly, unlike DirecTV, Comcast is NOT a national distributor, a key premise in the government's case for harm. More importantly, excluding the RSNs, Fox does not have 'must carry' content, a necessary plank in any antitrust case.
5. Any argument on net neutrality, and potential anti-competitive harms from combining content with an internet service provider, is in stark conflict with the position that the government's own relevant expert agency, the FCC, has taken on the issue. We would also note the absence of net neutrality arguments in the AT&T trial, and the absence of meaningful historical instances of bad behaviour among ISPs.
6. 21 Century Fox is substantially an international (i.e. non-US) business, so a major part of the value and the strategic rationale for the deal lies outside the jurisdiction of the DoJ.

Comcast's hand will be considerably strengthened if they can get the DoJ to move towards an approval similar to that with Disney in the near term, but we feel that price should be the dominant factor given the largely international nature of the asset being acquired and the antitrust considerations laid out above.

Time to close should not be a differentiator

Even with an accelerated US approval, a Disney transaction will be constrained by the timetable of international approvals, which we would expect to take between six and twelve months. Comcast should not be on a significantly dissimilar timetable internationally. On the merits, neither Comcast nor Disney have significant hurdles to international approval, but the process will still take time.

Transaction remains highly strategic and mutually exclusive for both acquirers

Below we summarise the strategic matrix for Disney, but one could easily replace Disney with NBCU (Comcast) in the first column and achieve the same picture.

Ultimately this transaction is about creating a credible Netflix competitor urgently. For that, the acquirers need Direct to Consumer scale, which only Fox can bring with its stakes in Hulu, Star and Sky, and content depth which is achieved through the combination of the Fox studio with that of the acquirer.

		Disney	+	Fox	=	New Disney
TV	➤	Disney Pixar Lucasfilm Marvel ABC	+	20th Century Fox Searchlight Endemol Star Sky	=	World's largest studio with deepest franchise library
Film	➤					
US Distribution	➤	30% of Hulu	+	30% of Hulu	=	Control of Hulu
International Distribution	➤	None	+	Sky (Europe) Star (Asia)	=	Global Direct to Consumer (DTC) scale
Sports	➤	ESPN	+	Sky Sports (Europe) Star Sports (India) RSNs	=	World's largest sports platform

We expect Comcast and Disney to compete hard because there can only be one winner of this asset. The strategic assets are very difficult to split and collusion between the buyers is prohibited contractually and by antitrust law.

New Fox investment thesis remains unchanged

New Fox is currently trading at an implied price of \$11 per Fox share based on the current Disney bid, and we believe it is worth \$16, based on strong monetisation upside over the coming 3-5 years and a 12x exit multiple.

1. New Fox is significantly undervalued, trading on less than 8x FY20 FCF
2. Fox News is around three-quarters of New Fox EBITDA. We believe Fox News is among the strongest assets in legacy media, with a consistent and passionate viewership, still under-monetised, and an extremely attractive economic model with mid-sixties EBITDA margins underpinned by very strong brand equity
3. The Fox Broadcast Network is recasting itself as a sports network, with now the strongest portfolio of sports rights among any of the major network groups
4. We believe Fox News, Fox Broadcast and Fox Sports are 'must carry' in any slimmed-down bundle and in aggregate the New Fox family of networks represents the most compelling price value equation for distributors in the current bundle. This drives our expectation of retransmission and affiliate upside

Returns: We expect upside of between 10% and 35% dependent on Comcast's return

Based on the current \$38 Disney offer for RemainCo and our fair value for New Fox of \$16 per share, we see 10% upside to \$54 per Fox share on the gross long position. While this upside is modest, we

believe the risk is very low. The DoJ has approved the Disney–Fox transaction, and the Disney bid is half cash, half stock collared plus or minus 10%.

Beyond this we think there is a meaningful chance that Comcast returns with a higher bid, likely in the region of \$45-50 per Fox share. This would lift our upside to between 25% and 35%.

Charter

At the time of writing Charter is broadly flat with the share price level at the start of the second quarter. However, the second quarter was an extremely volatile one, with a sharp decline post somewhat weak first quarter results, and a subsequent recovery. Following reductions in our Charter position over the preceding few quarters, we took advantage of the share price weakness in Q2, and increased the position meaningfully. Charter is currently an 18% position for the fund.

Q1 results

The Charter share price had a negative reaction to the company's Q1 results declining 12% on the day. We believe the reaction was excessive.

At a high level financial performance was solid with modest acceleration in revenue and EBITDA growth. However, the key area of sensitivity was the deceleration in broadband subscriber and customer relationship growth versus the prior year. Importantly, this deceleration happened in a period when the management team had guided the market to expect acceleration. The extremely poor communication, combined with broader concerns about competition, and the erosion of the last vestiges of takeover speculation contributed to the very sharp share price decline on the day.

Below we summarise the Q1 results in the context of the preceding quarter's performance and our forecasts for the coming years.

	2017				2018		TCI estimates		
	Q1	Q2	Q3	Q4	Q1		2018	2019	2020
Customer growth YoY	4.3%	4.5%	4.1%	3.8%	3.3%		4.0%	4.0%	4.0%
Video subs	-2.0%	-1.7%	-2.0%	-1.7%	-1.9%		-2.5%	-2.8%	-3.0%
Broadband sub YoY	6.7%	6.6%	6.0%	5.5%	4.9%		5.3%	5.4%	5.3%
ARPU	-0.1%	-0.5%	0.4%	0.4%	1.6%		1.1%	0.0%	0.5%
Revenue YoY	4.3%	3.9%	4.2%	3.2%	4.9%		5.0%	4.0%	5.6%
EBITDA YoY	6.4%	8.6%	5.0%	3.3%	6.5%		6.7%	7.7%	11.3%
Capex to Sales	-15.3%	-20.7%	-22.9%	-24.4%	-20.5%		-19.0%	-16.0%	-13.5%

Key points

1. At a high level this deceleration is small, -60bps in growth from Q4's 5.5%. This is not a collapse in sub trends, and not miles away from where we are for the year, but investors are highly sensitive especially given such explicit guidance that they are now being asked to wait another quarter or two to see acceleration
2. Management blamed an integration error last year which saw a billing system accept low credit score subs on a post-paid rather than pre-paid basis. When corrected in Q1, they saw these subs churn off and not pay their bills. They expect this effect to taper in Q2, and disappear in Q3, and say the underlying trends are as expected
3. If it is 100k subs, that would have contributed an extra 50-60bps to broadband and customer growth, which would have put it more in line with the end of last year
4. At the same time they are indicating growth in gross adds, which would imply as the churn abates that we get solid acceleration in subscribers
5. Charter still has a relatively low market share in its footprint (45% of homes passed) given their infrastructure advantages, and we think they have scope to move that number to 55% or higher over the medium term

6. Video is progressively less relevant, and management increasingly refer to that. Higher sub losses don't really move the profit needle
7. Capex was high, but will decline meaningfully in 2019 and again in 2020 as set top boxes largely disappear, and all-digital investments mature
8. Costs should also step down in 2019 and 2020, as the integration costs roll off

Mobile launch

At the end of the second quarter, Charter formerly launched their mobile product. Spectrum Mobile will cost \$45 per line for unlimited and \$14 per GB for limited plans. This pricing is similar to Comcast's, and going into 2019, we expect the cable industry to push aggressively in wireless.

We think that cable will become a meaningful player in the mobile market over the next 5 years, driven by a compelling value proposition to consumers in terms of lower prices, and network convergence at the infrastructure level where we believe they have significant advantages in delivering 5G in most of the country given the unique existing dense infrastructure.

We have detailed our thoughts on the mobile entry and its characteristics in previous letters, but ultimately we believe this free cash flow could be worth \$20–35bn in 5–10 years, versus the current market cap of \$90bn.

Returns

We continue to feel that Charter has considerable value drivers at its disposal over the next 5 years as management execute their plan to integrate Time Warner Cable, Charter and BrightHouse. We believe that as Spectrum pricing and packaging is rolled out across the base, subscriber growth will accelerate and capital and opex intensity will decline, whilst the operating drivers are being complemented by aggressive share buybacks. In the medium term, Charter's relatively low broadband price points (Charter prices at a \$15–25 discount vs Comcast in their respective footprints) and low starting video penetration are sources of strategic and value upside.

In terms of broadband penetration, Charter is largely unchallenged in 75% of its footprint, with a superior product and often a cheaper price. Long term we think this infrastructure advantage should allow them to drive penetration to at least 55% from the 45% today. This should allow consistent broadband subscriber growth of more than 5% and customer growth of around 3%. Importantly, we believe our penetration and pricing assumptions are consistent, with a gradual rise in the portion of the country which can offer competitive fixed infrastructure, whether this be fibre to the home or 5G fixed wireless to around 40% of the footprint versus 20% today.

We forecast \$40 free cash flow per share in 2021. Based on a 15x exit multiple we think the shares can get to \$600 in 3 years, an annualised rate of return of 27%.

Altaba

The fund's P&L on the Altaba/Alibaba position was flat in Q2 2018.

TCI's activism was the key driver of Altaba's announcement of a \$15bn tender offer in June. We estimate that the tender offer is approximately 2% accretive to the after-tax NAV of Altaba. The tender offer is expected to be completed by early August. The initial premium offered was 4% which drove strong interest from arbitrageurs.

We expect Altaba to announce subsequent steps to unlock shareholder value after the current tender offer is completed. Altaba could pursue a series of exchange offers which would culminate in the liquidation of Altaba. Alternatively, Altaba could switch to a full liquidation with blockage discount. We believe the value creation potential of both scenarios is similar.

The tender offer will reduce Altaba's ownership of Alibaba to approximately 11%. As long as Altaba owns more than 10% of Alibaba, it qualifies for favourable tax treatment of dividends from Alibaba.

Once the ownership stake dips below 10%, tax concerns would be magnified. This dynamic creates a 'now or never' moment for Alibaba.

Separately, Alibaba will sell up to 30% of its Yahoo Japan stake for \$2bn pre-tax value back to Yahoo Japan. The joint venture agreement between Softbank and Alibaba has terminated which will allow Alibaba to pursue accelerated disposal of the remaining stake in Yahoo Japan. We expect the proceeds of the sale to be used for buybacks.

Alibaba trades at a 24% discount to pre-tax NAV compared to the applicable tax rate of 20%. There is scope for additional upside from a blockage discount (please see previous letter for a detailed discussion on this). Alibaba is buying back stock at a discount to its liquidation value which is accretive for its remaining shareholders. We are fully hedged on Alibaba. We expect a 7% IRR on the long value of Alibaba if full liquidation is accomplished over the next 12 months.

In an SEC filing, we disclosed that we have reduced our ownership stake in Alibaba to below 5% from 10% originally.

Alphabet

Alphabet shares delivered a return of 8% in Q2 2018. As a result of the higher share price our expected 3-year IRR has declined to 15% pa.

Alphabet reported strong Q1 2018 results with constant currency revenues up 23%. Clicks on Google Properties grew at an astounding 59% yoy. Alphabet reported higher costs than expected, driven by investments in hardware and cloud. These investments presented a drag on EBIT margins in Q1 2018 but will pay off in the long-run.

Core business

Google Search revenues can continue to grow at 15% per annum. Besides strong volume growth, data we have seen suggests that pricing is currently growing at double digit growth rates in the US.

Google's investments in hardware are starting to bear fruit. For the first time, Google sold more smart speakers than Amazon in Q2. The AI supporting the Google Assistant is well ahead of Alexa and we believe that Google is in a strong position to capture a large share of the connected home market.

Google introduced Duplex, an AI system which can make phone calls on behalf of users to automate tasks such as restaurant bookings. Duplex will be a powerful feature of the Google Assistant, further differentiating it from Amazon Alexa.

YouTube

YouTube represents approximately 15% of revenues and has been growing at a 30% CAGR for the last 3 years. Monthly logged-in users increased from 1.5 billion in 2017 to 1.8 billion in 2018, suggesting 20% usage growth. We estimate that YouTube is only marginally profitable today.

YouTube has recently launched YouTube Music, a music subscription service which will compete with Spotify and Apple Music. YouTube is well positioned to take market share in the rapidly growing music subscription market thanks to its broad music library, AI based recommendation mechanism and integration with Android. Unlike the other music streaming services, YouTube has "exclusive" content in the form of concert performances which will appeal to music lovers.

Waymo

Waymo is expected to launch in Phoenix later this year, which is a milestone in the development of autonomous cars. Waymo has tentatively ordered over 80,000 cars but the delivery schedule is unclear. Despite the huge option value embedded in Waymo, we currently value Waymo at zero.

As a comparison, Softbank's recent investment in GM Cruise valued the self-driving car business at \$12bn.

Google Cloud

Google Cloud is the fastest-growing cloud provider. Google Cloud and G Suite are already generating \$1bn of recurring revenues per quarter. Alphabet continues to invest aggressively in the cloud. We estimate that Google Cloud will incur pre-tax losses of \$3bn in 2018 as investments are frontloaded. As the business scales and revenue continues to grow we expect profitability to inflect.

Google's continued efforts have started to bear fruit, as reflected by Google Cloud's recent wins of Shopify, GitLab, Twitter and Fitbit contracts.

European Commission – Android

The European Commission is expected to announce its decision on the Android case in July. We anticipate a fine equivalent to 1% of market cap, which Alphabet is likely to challenge in court, a process which could last for several years.

The European Commission has objected to Google's practice of requiring smartphone manufacturers to pre-install Google apps and set Google Search as the default search engine. Moreover, the European Commission alleges that Alphabet is in breach of antitrust regulations by providing financial incentives to manufacturers to exclusively pre-install Google Search.

Ultimately, the European Commission wants to ensure a level playing field which does not deter alternative apps and services from competing with Google. This could mean that the European Commission requires that consumers have full choice over the apps and services they wish to use, which would be a positive for Google. Google's apps and services are superior and loved by consumers. If the selection of apps and services is ultimately put in the hands of consumers, we expect very limited impact on the usage of Google products.

Safran

Safran shares delivered a 23% return in Q2 2018 in local currency.

Safran reported excellent Q1 results. Revenues grew 12% yoy and civil aftermarket sales increased 16%, mainly driven by CFM56 engine overhauls.

LEAP deliveries are broadly on track but are currently running about six weeks behind schedule. 186 engines were delivered in the quarter and production costs are coming down as planned. Safran aims to catch up with the delivery schedule by the end of Q3. The target remains to deliver 1,100 LEAPs in 2018. Safran also received 827 orders for the LEAP in Q1, taking the backlog to over 14,000.

The integration of Zodiac Aerospace has begun; streamlining and reducing overheads, recovering critical internal processes and implementing recovery plans for sites experiencing difficulties. Safran maintained its target of €200m of annual synergies, of which around 90% should be achieved by 2020. Safran also commenced its €2.3bn share buyback, which should be completed in the next 18-24 months.

Safran now targets 2018 revenue growth at the top end of its previous guidance and sees profits "growing comfortably in the upper end of the previously indicated range of 7-10%." The guidance for Zodiac accretion was also above expectations.

Safran's EPS should grow from €4.30 in 2017 to €7.50 in 2021. Our 3-year price target is €135 (18x exit multiple) which would generate an IRR of over 12%; however, in our upside case scenario we think the stock could trade on a multiple of 20x and generate an IRR of 15%.

Airbus

Airbus shares delivered a return of 9% in Q2 2018 in local currency.

Airbus reported mixed Q1 earnings. EBIT was flat yoy reflecting the shortage of A320neo engines and the back-loaded nature of annual aircraft deliveries. The A320neo ramp-up is now progressing again following the resumption of GTF engine deliveries. The target is to deliver around 800 commercial aircraft in 2018 and the company still expects profits to increase by 20%.

We met the Airbus CEO during the quarter and he remains confident that “the full potential of the company is only one or two years away.” He thinks there will be no new clean sheet aircraft design and hopes to make a decision on moving to rate 70/mth on the A320 by the end of the year.

The main uncertainties for Airbus are now the bribery/corruption charges being investigated by the UK and French authorities, as well as the choice of the new CEO and CFO. While we expect a decision on the new CEO and CFO to be made before the AGM next year it is likely that a settlement of the corruption charges will take much longer.

We estimate Airbus will generate EPS of €8-10 in 2020 with 100% FCF conversion. A multiple of 15-20x is fair for a company with a duopoly position in a secular growth industry. The upside case 2020 price target is €160, which is over 60% above the current share price.

Aena

Aena delivered a return of -1% in Q2 2018 in local currency.

During the first quarter of 2018, the Socialist Party in Spain unexpectedly won a vote of no-confidence against the People Party. This took the market by surprise. The uncertainty created by the arrival of the Socialists negatively impacted Aena shares for two reasons:

- First, it seemed likely that Aena’s newly appointed CEO and Chairman would be replaced
- Second, Aena had recently released a new Strategic Plan which had been approved by the former government. Following the vote of no-confidence, Aena’s management team decided to postpone its presentation to the market

We believed that these concerns were unfounded. As we write this, the board of Aena has just appointed Maurici Lucena as its new CEO and Chairman. We had the chance to meet him and we exchanged views regarding Aena’s future and it was apparent we shared the same goals and vision for the company. Further, we anticipate that in due course he will confirm the key targets of Aena’s strategic plan, which should alleviate market uncertainty.

On the fundamental side, Aena delivered a strong set of results: revenues grew 6% for the quarter ending in March 2018 whilst EBITDA increased by 14%. These results were supported by the continued growth in passengers which rose 9% compared to last year.

On the operational front, Aena’s results were driven by the same three factors:

1. Steady traffic performance:
Aena’s traffic increased by 9%, with both international and domestic traffic performing strongly, up 7% and 10% respectively. Aena’s biggest airports continued to do well with Madrid and Barcelona airports both growing at 9%. Outlook for 2018 remains solid and supportive of the company’s guidance of 6% traffic growth.
2. Solid commercial revenue performance:
Aena’s unregulated revenues continued to perform strongly, with revenues up 8% whilst EBITDA increased by 10%. This performance is primarily due to:
 - The increase in the Minimum Annual Guaranteed (“MAG”) rents received by Aena
 - The continued traffic growth

- Positive impact from new agreements that came into effect, especially Car Rental, as well as Food and Beverages

3. Focus on cost efficiency:

Despite the strong traffic increase, Aena continued to successfully curb operating cost increases (operating expenses increased by 1% vs traffic growth of 9%). However, going forward, we expect operating costs to increase at a higher rate than in recent quarters. That said, we also expect the company, in agreement with the regulator, to use the "P" factor (i.e. inflation pass-through) to offset parts of these headwinds.

During the quarter, we monetised a part of our holding in Aena, selling 25% through a fully underwritten placement. TCI Master Fund reduced its position in Aena from 8% to 6% of total shares outstanding. We remain the second largest shareholder behind the Spanish government and keep our board seat.

Valuing Aena at a normalised levered free cash flow yield of 5% implies a market capitalisation in excess of €34bn versus €23bn today. In the interim we expect to get paid a 4% dividend yield. Looking at valuation from another perspective, assigning a 1.1x RAB for Aena's regulated assets (at a discount to most European regulated assets) and assigning a 5% after-tax cap rate to its unregulated business, we derive a fair value in excess of €31bn in 4 years' time including dividends, implying an 11% IRR.

In the meantime, Aena is cash generative, generating in excess of €1.6bn of free cash flow annually. Assuming nothing happens, Aena's Net Debt to EBITDA ratio will fall from 2.7x at the end of 2017 to less than 2x by 2021. Talking to rating agencies, we understand that Aena could sustain a Net Debt to EBITDA ratio of 6x whilst maintaining its investment grade status. Assuming this is the case, Aena could distribute in excess of €11bn to its shareholders or 50% of today's market cap. This alone could add more than 10 percentage points to our IRR.

Aurizon

Aurizon shares delivered a return of 2% in Q2 2018 in local currency. During the quarter, there was (1) progress on the regulatory review of the Below Rail network business and (2) an investor seminar on operations, regulation and markets.

Below Rail regulatory update

The outcome of the regulatory review on the Below Rail Network (UT5) remains one of the most important drivers of EBIT for FY19+. There was tangible progress during the quarter towards achieving a satisfactory outcome on UT5:

- The Queensland Government is focused on facilitating a negotiated agreement between Aurizon, its mining customers and the regulator (QCA)
- On the key issue of rate of return, there is now a broad recognition that it needs to be at a similar level to Hunter Valley Rail, the closest peer. We continue to expect an 80-100bp improvement on the QCA's Draft Decision
- The QCA announced that it is "minded to" reverse the cuts to the maintenance cost allowance, effectively admitting it got it wrong
- The Government has moved quickly to improve governance of the QCA. With the old Chairman gone and the remaining two members effectively given six months' notice, a new Director of Regulation has been appointed to the Board. He has extensive commercial and regulatory experience. This is a positive development and underscores the Government's dismay with the performance of the QCA to date

Against this background and the new data points, we remain of the view that the impact on Network EBIT from UT5 should be materially less than current consensus forecasts.

Investor day

The key messages were:

- Continuing efficiency improvement with new cost savings of A\$70m over the next 3 years with "much more to come"
- More detail on the 4 new Above Rail haulage contracts (20mtpa or an 8% lift in volumes), the ramp-up profile and associated capex
- Optimism of its customers on medium term volume growth, particularly the world-class and low-cost met coal resource in Queensland
- The willingness to "come to the table" and negotiate a reasonable outcome on UT5

On financials, there was no change to FY18 EBIT guidance of A\$900–960m and for FY19 some building blocks were identified although the outcome of UT5 remains the most material swing factor.

Market

Development of commercial resources is a high priority for the government as this drives investment, employment and economic growth for northern Queensland. The focus is on met and thermal coal (Bowen, Surat Basins), energy and agriculture.

Medium term, the CEO believes that volumes overall should continue to grow at a rate of 1–2% per annum given the combination of (1) market demand for high-quality inputs for steel-making and thermal power, (2) Australia's strong position on the US dollar global cost curve and (3) the lowest supply-chain costs to Asian markets (50% lower than North America).

The Surat development is a government priority given its commerciality. It would need an A\$1bn rail extension to enable a potential 20–30mtpa of incremental volumes over time. Aurizon has multiple opportunities arising from this, as noted in the Q1 investor letter.

Assuming a satisfactory outcome from UT5 and volume growth in line with current market forecasts, we continue to see fair value at around A\$5.50/share and a mid-teens IRR.

Microsoft

Microsoft delivered a return of 9% in Q2 2018.

Microsoft reported strong quarterly results with 14% EPS growth. Our checks indicate that strong growth continues in Office 365 and Intelligent Cloud division. We expect a 14% 3-year IRR for Microsoft.

Office 365

Our confidence in Office 365 continues to grow. We believe pricing and upsell opportunities in Office 365 remain significantly under-appreciated. Management also appears highly confident about ARPU increases.

With pricing and volume growth, incremental margins for Office 365 are likely to be 70% with overall revenue growth of low double digit rates and EBIT growth of low to mid double digit rates.

Office 2010 will reach its end of life in 2 years. This will drive an accelerated adoption cycle for Office 365 in CY 2019 and 2020.

Intelligent Cloud

Our confidence in Azure also continues to grow. Azure has closed the feature gap with AWS. JP Morgan's survey of Azure's ecosystem partners had one important takeaway: partners expect Azure to be growing at 77% CAGR one year from now.

Computing power per unit of cost increases at a 40% CAGR consistent with Moore's Law. Data volumes have grown at a stunning 35% CAGR over the last two decades. However, ability to read-

write this data from storage has only grown at a 20% CAGR. This is creating a major bottleneck between the total volume of data stored versus the ability to read-write vast quantities of data. This bottleneck is likely to grow meaningfully in the future and will impose high switching costs on enterprises due to a combination of high costs of moving the data as read-write, which is relatively expensive and business interruption risks. High switching costs create an attractive dynamic of customer lock-in from the Cloud vendor perspective.

Our research indicates that AWS imposes significant costs on transfer of data and even when the data is transferred within AWS's data center network. We understand that Azure's pricing structure is much friendlier to enterprises and has materially lower costs on data transfer. The upshot of this is that Azure is likely to be perceived as a friend of the Enterprise and likely to garner higher market share in the Enterprise market.

Azure is earning zero EBIT margins today. AWS, in comparison, is earning 25% EBIT margins. We estimate that Azure will reach 20-25% EBIT margins as it reaches scale. Over time, we expect Azure's margins to be higher than AWS's margins as it bundles more Microsoft software and runs more premium workloads than AWS.

Gaming and Windows

The gaming market is undergoing a structural shift away from local hardware to Cloud-hosted gaming. With Game Pass, Microsoft is building a subscription model similar to Netflix. Borrowing from Netflix's strategy, Microsoft is looking to develop or acquire exclusive games for the platform. The business strategy is to create a platform which provides scale benefits to leverage the acquisition cost of content.

Windows 7 and Windows Server 2008 R2 have reached end of life. This is likely to drive an upgrade cycle for Windows. Windows is a 90-95% gross margin business and any growth in the division will flow directly to the bottom line.

Atlantia

Atlantia delivered a return of 3% in Q2 2018 in local currency.

During the first quarter of 2018, Atlantia shares were negatively impacted by Italian politics. On June 1st, 2018, a coalition of two populist parties was sworn in. The new government will be dominated by populists and hard-line Eurosceptics. Whilst the new Italian administration did not mount an overt challenge to Italy's membership of the European Union, Italian 10-year bond yields widened by nearly 100bps, triggering a sell-off in Atlantia's shares and other Italian assets. We believe the sell-off in Atlantia's shares is unwarranted:

- First, our Italian lawyers confirmed that it would be unconstitutional to organise a referendum on Italy leaving the European Union
- Hence, a referendum on EU membership would require changes to the constitutional law. Such changes would require approval from a two thirds majority of MPs in two different chambers, with at least a 3 month interval between the votes. If approved by less than two thirds of MPs in any of the chambers, then a referendum on the proposed amendments would be called, requiring a majority support of the voters. Even in this event, the constitutional court could still veto these changes
- This makes a referendum on EU membership unlikely given the weak existing coalition (one party is communist, the other on the extreme right wing)
- Second, Italian residents together with Italian financial institutions hold 70% of Italian government bonds, compared to 10% for other Eurozone countries. Leaving the European Union would be catastrophic from a financial standpoint because their wealth would be wiped out as Italian assets are redenominated into Italian Lira
- Third, the extreme right wing party is supported by SMEs in the North which are pro-European

On the fundamental front, for Q1 2018, EBITDA and operating free cash flow increased by 3%. These results were supported by solid traffic across its Motorway and Airport divisions, most notably from Atlantia's international assets.

Motorways:

Italy

- During the first quarter of 2018, both traffic and tariff grew by 1%. The combination of these two factors led to an EBITDA growth of 3%. Traffic on Atlantia's Italian motorways was negatively impacted by heavy snowfall between the end of February and early March

International

- Strong performance from Atlantia's international motorways. Supported by a positive macro backdrop, traffic was up 5% in Poland, 4% in Chile and 3% in Brazil. Atlantia also benefited from significant toll increases in the majority of its international motorway division, leading to revenue growth of 9%. In 2017, Atlantia was awarded the concession for the operation of an urban motorway in the city of Santiago, a 5.2km tunnel using a free-flow tolling system
- During Q1 2018, Atlantia was awarded the concession for the "Conexion Vial Ruta 78-68" project. The project will involve construction and operation of a new 9.2km section of urban, free-flow toll motorway in the city of Santiago. The duration of the concession is up to 45 years

Airports:

Rome Airport

- The traffic at the Rome airport increased 2% in Q1 2018. Rome airport performance marked a sharp contrast between non-EU and domestic traffic:
 - The non-EU segment was up 17%, driven by the healthy performance of long-haul traffic
 - Domestic traffic was down 6%, driven by the strikes and the bankruptcy process of Alitalia and the cancellation of several flights due to the bad weather that hit Europe between the end of February and the beginning of March
- Revenues at the Rome airport were positively impacted by an increase in its non-aviation activities (up 7%), following the entry into full operation of retail activities in Boarding Area E

Nice Airport

- Nice airport handled 2.4 million passengers in Q1 2018, a 10% increase compared with the previous year. EU traffic was the main driver of growth (up 11%), thanks to an increase in capacity (up 12%)

At Atlantia's current share price and pro-forma for the Abertis transaction, we believe Atlantia trades on a lifetime IRR of 11-12% (depending on the leverage assumption post 2022) which we believe is attractive. Assuming a 9% lifetime IRR exit yield in 2023, we see a 23% return over the next 5 years. For reference:

- Transactions in the private market for similar assets are clearing in the 7-8% range
- Earlier this year, Atlantia sold a 12% minority stake in its Italian toll-road at what we believe was a 7% lifetime IRR

Looking at it from another angle (see table below), we believe Atlantia's Italian assets are cheap, trading on 8% and 12% 2019 unlevered and levered FCF yield and growing at low single digit rates over the next 23 years.

Atlantia Market Cap.	€20,604m	As at 29 June 2018
- Eurotunnel stake	-€1,023m	At market
- Hochtief stake	-€1,500m	Written down 40% vs price paid
- Abertis stake	-€3,500m	At book value
- Other infrastructure assets	-€1,500m	(Includes Nice airports, International Motorways)
Value of Italian Assets	€13,081m	
2019 Levered FCF Yield	12%	
2019 Unlevered FCF Yield	8%	

London Stock Exchange

LSE shares delivered a return of 9% in Q2 2018 in local currency.

LSE has the best organic growth profile amongst global exchanges. The value driver for the industry continues to shift from trading venues to data and clearing houses. With FTSE Russell and LCH, LSE is well positioned to grow at attractive rates over the long term.

LCH is the dominant clearing house globally. LCH benefits from strong volume growth due to client clearing. Client clearing volume growth was 30% in Q2 on a yoy basis.

- LCH is expected to renegotiate its pricing with partner banks later in 2018. We expect a modest positive revision to pricing and LCH will continue to improve pricing over the long-term
- The scope for buy-side clearing continues to expand. New margin rules on uncleared swaps will become effective in September 2020. Uncleared swaps represent over \$500tn of notional exposure. With its ability to provide cross portfolio margining, LCH is likely to win a dominant share of this addressable market. The uncleared swaps range from interest rates to foreign exchange and credit default swaps
- Sterling-denominated LIBOR contracts will be phased-out by 2021. CurveGlobal has introduced a competitor product to ICE sterling-denominated contracts. CurveGlobal is 43% owned by LSE and clears at LCH. LCH can entice customers with cross portfolio margining to switch their trading to CurveGlobal
- LSE also increased its stake in LCH to 68% from 66%

Brexit has raised concerns as to whether the EU will adopt a location policy for Euro-denominated swaps. LSE has a fully licensed and authorised clearing house in Paris in the event that this location policy becomes effective. The financial impact of switching the business is immaterial. However, the location policy would add significant stress to the European banking system. Mark Carney, the Governor of the Bank of England, estimates that splitting the margin pool would cost the EU banking system an additional \$24bn a year. This immense impact is likely to force ECB and EU regulators to adopt a more moderate stance. We expect LCH to grant the ECB direct supervision authority over the London clearing house to mitigate concerns about effective regulation.

The Information Services division, which includes FTSE Russell, delivered 11% organic revenue growth in Q1 2018. ETF AUM grew by 31% on a yoy basis:

- FTSE Russell acquired a minority interest in TMX global debt markets business
- FTSE had some notable wins in new ETF mandates in Japan and Taiwan
- Fixed income ETFs is a big growth driver for the Indexing industry. BlackRock estimates that fixed income ETF penetration is only 2% compared to equity ETF penetration at 15%

David Schwimmer will become CEO in August 2018. We expect to continue to engage with LSE to improve corporate governance at the Board level.

LSE remains vulnerable to a takeover by ICE as LSE's chairman lacks credibility with shareholders. The current Chairman is leaving in April 2019.

Our return expectation for LSE is an 11% 3-year IRR without a takeover bid from ICE and higher returns if there is a takeover bid.

Porsche

Porsche shares delivered a return of -17% in Q2 2018 in local currency.

Porsche shares declined during the quarter due to a combination of concerns about the new EU emission regulations and the impact of potential US import tariffs. The new EU emission testing standards (called WLTP, designed to reflect more accurately real world driving conditions) come into effect in September and mean that OEMs have to re-test and re-classify all their model variants. This has created huge logistical issues because the testing facilities in Europe do not have the capacity to process all the cars in time for the September deadline. This will cause delays in delivering certain models and hurt Volkswagen (VW) profits in the second half of 2018.

Donald Trump has also threatened to tax US imports of EU-manufactured cars at 20% or more vs 2.5% currently. While US imports are only a small part of VW deliveries (approx. 2%) the tariffs could have a much bigger impact on VW's profits if the company is not able to offset them fully by other actions (pricing, switching to local production, etc.). Press reports indicate that the US and the EU are trying to come to an agreement that will involve tariff-free trade between the two regions.

Despite this difficult environment VW continues to execute well. Deliveries in Q1 were up 7% yoy and adjusted profits rose slightly. Net cash remains at a high level at €24bn.

The Truck division is also officially being prepared for an IPO, which should happen in 2019. We think this division could be worth up to €25bn and at this valuation the P/E of VW's car business would fall to just 4x.

Eurotunnel

Eurotunnel delivered a return of 4% in Q2 2018 in local currency. Eurotunnel's reported revenues were up 5% in Q1 2018.

Regulated passenger division: Eurotunnel grew revenues by 3%.

- Eurostar achieved a new first quarter traffic record with an increase in traffic of 5%
- This underlying trend should continue through the rest of the year with the opening on April 4th of the direct London to Amsterdam service

Unregulated shuttle services: Eurotunnel posted revenue growth of 7%.

- Truck traffic saw an increase of 3% for the first quarter, with Eurotunnel increasing its market share by 210bps
- Passenger traffic was up 4% despite unfavourable weather conditions, but boosted by favourable calendar effect with the Easter holiday gateway falling in March this year. Eurotunnel market share for cars reached 61% for the quarter
- With rail having a clear advantage relative to alternative means of transportation (ferry and air) in both reliability and frequency, Eurotunnel once again demonstrated its strong pricing power, with yields up 3% during Q1 2018

On June 19th, 2018, Eurotunnel held a long awaited investor day. It confirmed our thesis and reinforced our conviction in Eurotunnel's long term growth prospects. Indeed, since initiating a position in Eurotunnel, we have met several times with its management team and shared our

detailed work. We are therefore pleased to see that our recommendations have been taken on-board.

- New routes: Eurotunnel confirmed the possibility to open new routes. These include Geneva, Luxembourg, Basel, Frankfurt and Cologne
- New operators: Eurotunnel confirmed it was studying starting a low-cost train link between Paris and London to compete with Eurostar's service, with fares 25% to 30% lower than those of Eurostar. According to a Eurotunnel-commissioned study by consultancy Roland Berger, such a service could transport as many as 2 million additional passengers annually (a 20% increase at no incremental capex or opex)
- Shareholder return: Eurotunnel will return close to 30% of its market cap in dividends and/or share buybacks over the next 5 years:
 - Approximately 15% of market cap will be distributed from normal cash flow generation over the next 5 years
 - Approximately 15% of market cap will be distributed from re-leveraging when the electricity interconnectors start operations in 2020

We believe the appropriate way to value Eurotunnel is to focus on its lifetime IRR (i.e. until its concession ends in 2086). At Eurotunnel's current share price, we estimate its lifetime IRR to be 10%. Transactions in the private and public infrastructure sector are currently occurring at between 7–8% for assets with a shorter duration (20–25 years). Using an 8% lifetime IRR, this would translate into around 40% upside to today's share price.

North American Railroads

During the quarter the fund initiated a position of 5% of NAV in a basket of three North American railroads; Canadian Pacific, Norfolk Southern and Union Pacific.

We like this industry for the following reasons:

- There are massive barriers to entry, as it is virtually impossible to build a new railroad in North America
- The railroads have monopoly or duopoly networks
- They have long term pricing power
- There is the potential for significant margin expansion
- The companies are very shareholder friendly (100% of free cash flow is returned to shareholders)

There are also several secular trends that are driving freight off the highways and onto the rails. Firstly, rail transportation is four times more fuel efficient than trucking and shippers attempting to lower their carbon footprint are allocating more of their volumes to the railroads. Only about 10% of US freight is currently shipped by rail so there is still a huge amount of market share to be gained.

US trucking companies are also facing higher costs of doing business due to new regulations. Electronic Logging Devices (ELDs) are now compulsory for all trucks and this will limit the number of hours that drivers can work (11 hours a day). Stricter drug testing of drivers has also recently been introduced. As a result there is now a significant shortage of truck drivers in the US which is pushing up driver pay. Consequently, trucking companies have increased their rates by around 20% yoy which has created a favourable environment for rail pricing (rail is typically priced 10-20% cheaper than truck transportation).

Rail volumes are up about 4% YTD and margins should expand across the industry due to operating leverage and strong pricing (+3-4%).

We met with the CEO of Canadian Pacific during the quarter and also the CFOs of Union Pacific and Norfolk Southern. They highlighted the benign pricing environment and the opportunities to increase margins.

Norfolk Southern has the lowest margin (33%) in the industry, over 300bps worse than its peer CSX, despite the two companies operating similar, overlapping networks in the Eastern part of the US. CSX has a new management team (brought in by Hunter Harrison, now deceased) that is executing the precision railroading model and exposing the full margin potential of a well-run, efficient railroad. By 2021 CSX could report margins in the low-to-mid 40s. CSX and Norfolk Southern have approximately the same revenues but the market capitalisation of CSX is over 30% greater than that of Norfolk Southern. We think this valuation gap can close when Norfolk Southern moves to achieve a comparable level of profitability.

Union Pacific (UP), a railroad in the Western US, competes with Burlington Northern (owned by Berkshire Hathaway) and has an excellent network that dominates the South West of the US. It has an attractive chemical franchise on the Gulf coast and a strong domestic intermodal business. Volumes should grow in the low single digits and due to lower than historic capex requirements (the Positive Train Control network has now been fully built out) UP will convert over 90% of its net income into free cash flow. The company is targeting 300bps of margin expansion by 2020 and UP will also buy back about 20% of its shares outstanding in the next two years as it utilises its under-levered balance sheet.

Canadian Pacific (CP) owns a trans-continental network in Canada and competes mainly with Canadian National (CN). It has large grain, intermodal, potash and energy businesses and is benefitting from the growth in the port of Vancouver where CP is gaining market share from CN. The CEO targets high single digit revenue growth in the next three years which should drive strong margin expansion. The company will also buy back about 3% of its shares outstanding every year.

The three North American railroad stocks which we own are stable infrastructure assets trading on around 12x 2021 earnings and we expect them to generate IRRs in the low to mid-teens.

Real Estate Debt

Existing Loans

515 West 18th Street, New York



\$42m of the total \$100m TCI Master Fund share of the loan has been drawn down as at 30 June 2018.

From a construction perspective, general excavation work including piling and dewatering is continuing at the site.

76 Eleventh Avenue, New York



\$304m of the total \$502m TCI Master Fund share of the loan has been drawn down as at 30 June 2018.

From a construction perspective, the superstructure of the west tower is now up to the 31st floor. The commercial building has topped out at the 6th floor and work continues on the foundations of the east tower. Unit sales commenced in June 2018.

Parkmerced, San Francisco



On 30 October 2014, TCI Master Fund provided mezzanine loans of \$323m to Maximus PM Mezzanine 1 LLC and Maximus PM Mezzanine 2 LLC, two newly incorporated SPVs with one such SPV being the direct and wholly owned subsidiary of the other to finance the acquisition of certain interests in entities that indirectly own the property known as Parkmerced in San Francisco.

The sponsors intend to substantially redevelop the Parkmerced Estate over the coming years and design, planning and permit applications in respect of Phase 1 of the development plan were submitted in February 2015 and approved on 3 June 2015. Building permits have been applied for and the first phases of the construction works are expected to begin in Q3/Q4 2018.

As at 30 June 2018, NOI and occupancy levels for the Parkmerced Estate performed in line with our expectations.

Marble Arch Place, London



£22m of the £52m TCI Master Fund share of the loan has been drawn down as at 30 June 2018. From a construction perspective, site work on the superstructure is continuing at the Marble Arch site. At the Lyons Place site (the affordable housing component), work is proceeding in accordance with the agreed program.

Here is the link to the Almacantar Marble Arch Place website:

<http://almacantar.com/properties/marble-arch-tower/>.

35 Hudson Yards, New York



\$191m of the \$270m TCI Master Fund share of the total loan has been drawn down as at 30 June 2018.

From a construction perspective, the superstructure has now topped out. Curtain wall installation is now up to the 57th floor. Work continues on the fit-out of the hotel component and the residential floors. Unit sales will commence in September with a VIP launch followed by a large formal launch party in March 2019 upon the grand opening of the entire Hudson Yards project.

Here is the link to the 35 Hudson Yards website: <http://livehudsonyards.com/residences>.

Private Debt Summary (Drawn Exposures)

Position	Valuation	% of NAV	Valuation methodology (discount rate)	Independent valuer range*
Parkmerced	423	2%	DCF (11%)	\$418m - \$423m
76 Eleventh Avenue	316	2%	DCF (13%)	\$313m - \$324m
35 Hudson Yards	191	1%	DCF (10%)	\$191m - \$194m
515 West 18th Street	42	<1%	DCF (10%)	\$40m - \$43m
Marble Arch Place	29	<1%	DCF (12%)	\$28m - \$29m
Total	1001	5%		

Notes: Data as at 30 June 2018.

*Independent valuer used is Duff & Phelps.

Liquidity Analysis

Trading Days	% of Gross Market Value	
	June 2018	March 2018
15	47%	49%
30	66%	63%
60	89%	83%
90	93%	88%
180	95%	95%
>180	100%	100%

Notes: Liquidity is based on 15% of the 3-month daily average trading volume data of the composite of the available exchanges from Bloomberg LP and is calculated using accumulated daily disposal. The credit book's liquidity is based on the investment manager's market view. Data is based on the underlying stock for options and swaps.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited. Data as at end of each quarter.

Market Capitalisation of Portfolio

Market Cap	% of Gross Market Value	
	June 2018	March 2018
<\$1bn	<1%	<1%
\$1bn - \$5bn	1%	1%
\$5bn - \$10bn	11%	14%
\$10bn - \$50bn	34%	54%
>\$50bn	80%	66%

Notes: Analysis is based upon equity, equity option and equity swap positions only. The exposure of hedged equity positions has been netted.

Source: Citco Fund Services (Ireland) Limited, TCI Fund Management Limited. Data as at end of each quarter.

Quarterly Investor Call

There will be no Q2 investor call due to our recent investor events.

For those who were unable to attend our annual investor days, the presentation is available to view on the TCI investor portal. Alternatively, if you wish to receive a hard copy please contact irteam@tcifund.com.

Christopher Hohn
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